



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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Circular to analysts on handling non-public price sensitive information

1. Introduction

- 1.1 This circular is to guide analysts on their duties and obligations, under existing laws, regulations and codes of conduct, on handling non-public price sensitive information.
- 1.2 Analysts play an important role in the market in assisting the investing public in their understanding and valuation of listed companies. The investing public, in making investment decisions, may look to analysts for their analyses and forecasts of listed companies' performance and prospects. It is therefore of paramount importance to the market that analysts exercise due care and diligence in giving their comments or views and ensure that their comments and views are based on thorough research and analysis.
- 1.3 In conducting their research, analysts may have a lot of contact with management of listed companies and receive from them information about their companies. At times, analysts may receive non-public price sensitive information. Analysts should handle this information with extreme care as any mishandling may expose analysts and their firms to the risk of breaching the laws and regulations.

2. Relevant laws, regulations and codes of conduct

The Securities and Futures Ordinance

- 2.1 Non-public price sensitive information is referred to as "relevant information" in the Securities and Futures Ordinance ("SFO"). Under sections 245 and 285 of the SFO, "relevant information", in relation to a corporation, means specific information about:
 - (a) the corporation;
 - (b) a shareholder or officer of the corporation; or
 - (c) the listed securities of the corporation or their derivatives,



which is not generally known to the persons who are accustomed or would be likely to deal in the listed securities of the corporation but which would if it were generally known to them be likely to materially affect the price of the listed securities.

- 2.2 Trading on the strength of “relevant information” received from management of listed companies and other insiders may constitute insider dealing. Any person who has “relevant information” that they know comes directly or indirectly from an insider and counsels or procures other people to deal in the securities or derivatives concerned may also commit insider dealing. For example, if an analyst, after having obtained from management of a listed company information about unexpected good or poor results of the company, which is unknown to the market, issues a research report about the company and recommends investors to “buy” or “sell”, he or she may commit insider dealing.
- 2.3 Insider dealing is subject to civil or criminal sanctions under Parts XIII and XIV of the SFO respectively. Under section 257 of the SFO, civil sanctions include:
- disgorgement of profits gained or loss avoided;
 - prohibition from being involved in corporate management for a period not exceeding five years;
 - prohibition from dealing in SFC regulated financial products¹ for a period not exceeding five years; and
 - payment of the relevant investigation and legal costs.

Under section 303 of the SFO, the maximum penalties for insider dealing are a fine of HK\$10 million and imprisonment for 10 years. Many of the civil sanctions are also available.

- 2.4 In addition to civil or criminal sanctions, licensed analysts or analysts working for registered institutions are also subject to disciplinary action by the SFC and/or the Hong Kong Monetary Authority (the “HKMA”). Under the SFO, the SFC is empowered to impose sanctions including reprimands, fines, suspensions and revocations of licences and prohibitions of a person from applying to be licensed or registered, approved as a responsible officer or

¹ SFC regulated financial products include any securities, futures contract or leveraged foreign exchange contract, or an interest in any securities, futures contract, leveraged foreign exchange contract or collective investment scheme.



authorised to work for a registered institution. The HKMA may temporarily or permanently end an analyst's authority to work for a registered institution.

- 2.5 Therefore, if analysts, who have received non-public price sensitive information from management of a listed company or other insiders, selectively disclose the information to other people, such as their firms' proprietary trading desks or their clients, or trade on the information themselves, they may expose themselves and their firms to serious legal consequences.
- 2.6 Other insiders of non-public price sensitive information of a listed company include a wide range of people who have business dealings with the listed company or its related corporation, for example, management or staff of the listed company's major customers, major suppliers, etc.
- 2.7 Management of a firm should be aware of the fact that under section 279 of the SFO, they have a duty to put in place sufficient measures to prevent the firm from engaging in insider dealings (see paragraphs 5.1 and 5.2).

The Code of Conduct for Persons Licensed by or Registered with the SFC

- 2.8 In performing their functions as a research analyst, licensed or registered persons should pay particular attention to the following General Principles of the Code of Conduct for Persons Licensed by or Registered with the SFC:-

“GP 1 Honesty and Fairness - In conducting its business activities, a licensed or registered person should act honestly, fairly, and in the best interests of its clients and the integrity of the market.”

“GP 2 Diligence - In conducting its business activities, a licensed or registered person should act with due skill, care and diligence, in the best interests of its clients and integrity of the market”

3. What should analysts do?

What is non-public information?

- 3.1 Based upon the concept of “relevant information” in the SFO, non-public information is information that is not generally known to the people who are accustomed or would be likely to deal in the listed securities of the corporation. Who are these people? How would one know that a piece of information is generally known to them? The guiding principle is that, so long as the



information is simultaneously accessible by the investing public, it is public. For example, if a listed company has published the information by means of a paid announcement in widely circulated Chinese and English newspapers, the information is considered to be accessible by all members of the investing public and is therefore public.

- 3.2 It follows that, if the information is not accessible by the investing public generally, the information is non-public even if part of the investing public already know of it. For example, if the management of a listed company inadvertently discloses non-public price sensitive information to a group of analysts before the listed company makes a public announcement about it, the information is still considered to be non-public. An analyst should not assume that other analysts would disclose the information to their clients and therefore consider it as public because this would not render the information simultaneously accessible by all members of the investing public. Even if some of the analysts did disclose the information to their clients, that does not mean the whole of the investing public know.

What is price sensitive information?

- 3.3 Based upon the concept of “relevant information”, price sensitive information means information that has a material impact on the price of the listed securities if it is made public. There are a number of different kinds of price sensitive information. The HKEx, in its Guide on Disclosure of Price-Sensitive Information (the “HKEx Guide”), has given some examples of price sensitive information, which are reproduced below:

- regularly recurring matters (such as financial results and dividends);
- exceptional matters (such as acquisitions, realisations, transactions with connected persons);
- signing an important contract;
- entering into a joint venture;
- fund raising exercises;
- comments on the prospects for future earnings or dividends;
- release of any projected profits of the group by issuers or their directors;
- a large foreign exchange loss;
- major market upheaval in the industries, countries or regions where the issuer has significant operations or transactions;
- premature removal of auditors before end of their terms in office;



- cancellation of an agreement which was previously the subject of an announcement;
- resignation of chief executive;
- the issuer being aware that its auditors will issue a qualified report on its results;
- any change of accounting policy that may have a significant impact on the accounts; or
- events beyond the control of the issuer and that are of material significance to the issuer's business, operations or financial performance.

3.4 These are all **examples** only. It is **impossible to exhaustively list all kinds of price sensitive information**. Whether a piece of information is price sensitive depends on the circumstances of each individual case.

3.5 At times, price sensitive information may be composed of the aggregate effect of a number of pieces of information which taken together may constitute price sensitive information. For example, financial data, such as lower sales turnover, lower profit margin, higher interest expenses, higher administration cost, each of them taken on its own may not be price sensitive. However, all these financial data when taken together may enable an analyst to come to a conclusion that the company will have very poor final results, which may be price sensitive information.

3.6 Analysts, in determining whether a piece of information may be price sensitive, should take into account all the circumstances. If analysts are in doubt as to whether the information is price sensitive, the information is potentially price sensitive. In these circumstances, analysts should take a prudent approach and make reasonable inquiries, for example by reviewing publicly available information and asking questions of the issuer. Until satisfied that the information is not price sensitive, the analyst should treat the information as price sensitive.

What should analysts do if they receive price sensitive information?

3.7 When an analyst receives from management of listed company non-public price sensitive information, the analyst should:

- (i) alert the analyst's supervisor and compliance personnel of the firm about the situation;



- (ii) make reasonable efforts to procure that the listed company publicly disseminates the information by encouraging it to make the information public. This can best be done by senior management or legal or compliance officers of the analyst's firm. Under these circumstances, a listed company is obliged to make the information public under the relevant rules of the HKEx (see paragraph 4.1 below). In these circumstances, analysts are encouraged to advise HKEx of the position (although analysts do not have an obligation to do so) in order that HKEx's assistance in procuring adequate and timely disclosure can be harnessed; and
- (iii) not disclose the information to any other people, nor use the information in preparing research reports.

3.8 If the analyst has already put out a research report about the listed company, the analyst should review its contents in light of the information. If the contents of the research report are inconsistent with the information, the analyst or the firm should consider withdrawing the report. In doing so, the analyst or the firm should make no comment about the withdrawal. The firm should maintain no comment even if it is asked by its clients.

4. The Listing Rules and Hong Kong Exchanges and Clearing Limited's ("HKEx") Guide on Disclosure of Price Sensitive Information

4.1 Analysts are expected to be familiar with the relevant requirements of the Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited (the Main Board Rules) and the Rules Governing the Listing of Securities on the Growth Enterprise Market of the Stock Exchange of Hong Kong Limited (the GEM Rules) (collectively, the Listing Rules) and the HKEx's Guide. Under paragraph 2 of Appendix 7 of the Main Board Rules and Rule 17.10 of the GEM Rules:

- (a) a listed company should announce promptly information which might be reasonably expected materially to affect market activity in and the price of its securities; and
- (b) until an announcement in relation to such information is made, directors of the company should keep such information in strict confidence.

4.2 HKEx's Guide makes it clear that such information should be disclosed to the market as a whole and all users of the market should have simultaneous access



to the same information. The information should not be divulged selectively outside the issuer and its advisers in such a way as to place in a privileged dealing position any person or class or category of people.

- 4.3 Further, if price sensitive information is inadvertently divulged to outside parties or it is believed that such information may have been inadvertently divulged, the issuer must immediately issue an announcement so that the relevant information is disseminated to the market as a whole.
- 4.4 In light of this, analysts are advised not to ask for non-public price sensitive information from the management of listed companies or other insiders. Even if the management of a listed company or other insiders disclose non-public price sensitive information to analysts, this would only put the analysts in an unfavourable position because, on the one hand, they cannot in anyway make use of or disclose the information; on the other hand, before the listed company concerned makes the information public, they cannot make any comment about the company and may have to withdraw their existing research reports about the company.

5. Duty of management of a firm

- 5.1 Section 279 of the SFO provides that every officer of a corporation shall take all reasonable measures from time to time to ensure that proper safeguards exist to prevent the corporation from acting in a way which would result in the corporation perpetrating any conduct which constitutes market misconduct, which includes insider dealing. Failure to do so will be subject to civil sanctions under section 258 of the SFO, such as disqualification as a director of a listed company for a period not exceeding five years, prohibition from dealing in securities for a period not exceeding five years or bearing the relevant investigation or legal costs.
- 5.2 Accordingly, management of a firm must ensure that sufficient measures are in place at all times to guard against any possible mishandling of non-public price sensitive information, which may constitute insider dealing. For example, a firm should have:
- appropriate research and analysis clearance procedures;
 - clear staff dealing policies;
 - suitable procedures to guard against improper communication of non-public price sensitive information; and



- adopt a stringent monitoring mechanism to prohibit improper trading of the stock in question.

A firm should also conduct regular compliance reviews of internal procedures to ensure their adequacy and provide adequate training to staff to ensure their understanding of the relevant procedures.